

What makes India an attractive destination is its vast untapped potential. Despite wines and beers entering the neighbourhood supermarkets, alcohol penetration in the country is merely 21 per cent, which means that only one in every five adults drinks. The per capita consumption of drinks with even low alcohol content, like beer, is only one litre per annum, whereas it's 24 litres in other developing economies such as China. Evidently, India has much catching-up to do, despite strong volumes growth.

In search of the tippie-friendly population, the world's best brands are rolling out their red carpets in India. While white spirits and whiskies are doing brisk business, Indians clearly have a penchant for beer, which is considered to be an older man's drink in the West. Recently, America's largest selling beer—Budweiser—was launched in India. Crown Beers India, a joint venture between Anheuser-Busch and Crown International, will sell the locally-produced Budweiser. "As the Indian beer market continues to experience tremendous growth, our goal is to position Budweiser as a leading brand in the premium category," says Stephen J. Burrows, CEO and president, Anheuser-Busch Asia Pacific Operations.

Top-end whiskies and white spirits are not too far behind. From luxury vodkas like Belvedere and Grey Goose to Scotch whiskies like Glenmorangie and Talisker, premium brands are growing at over 25 per cent compared to a steady growth of 15 per cent of the overall industry. Wines and white spirits, interestingly, are no longer preferred only by women. A large number of Indians today are willing to shell out big bucks for a premium vodka like Belvedere—a 750 ml bottle of which comes for Rs 2,500 in the open market while a one-litre bottle can be pur-



"As every one is trading up, even vodka drinkers are now trying out new brands."

ASHWIN DEO, MANAGING DIRECTOR, MOËT HENNESSY

chased for \$40 (Rs 1,600) at a duty-free shop at airports. Says Asif Adil, managing director of Diageo India: "White spirits are growing at a fast clip as they are great for cocktails."

A formal ban on advertising of alcohol brands is no deterrent to brand building and consumer awareness. Alcohol companies are now resorting to experiential marketing, wherein they create new experiences for their consumers at bars and clubs. When Moët Hennessy launched Belvedere, it worked with bars to popularise vodka martinis, popularly called vodkatinis. Says Ashwin Deo, managing director of Moët Hennessy, "As every one is trading up, even vodka drinkers are

now trying out new brands." Little surprise then that the market for imported vodka has reached 45,000 cases—10 per cent of the total vodka market in a short span of three years. The penchant for luxury brands shows in the demand for limited editions. Moët brought only 100 bottles of its limited edition Glenmorangie Margaux Cask finish Scotch whisky to India priced at \$460 (Rs 18,400), all of which were sold out within days.

Since alcohol consumption is about celebration, statement and attitude, Bollywood too is marking its presence in the industry by endorsing some of the leading brands. In order to create a better connect with the brand, young and strapping film stars are being roped in to endorse vodka brands. Jumping on to this brand-wagon are big and small stars alike. From Shah Rukh Khan to Shilpa Shetty, who took a stand against drinking in the reality show *Big Brother*, many stars are keeping spirits high. While Shetty only believes in responsible drinking, occasional consumer Shiney Ahuja is the brand ambassador for Shark

Tooth, a vodka brand from Diageo India. The second largest domestic spirits marketer, Radico Khaitan, has roped in Hrithik Roshan for a mega endorsement deal for its Magic Moments vodka brand.

While it's limited editions and club promotions for some, some like Diageo go right into people's homes and help them organise parties. Says Adil, "We offer total solutions to the consumers by helping them organise the bar or taking over it, supply accessories and even offer bar tenders and waiters." Depending on the taste of the state, events and services are offered in different parts of the country. It's not for nothing that India is fast emerging a tippler's delight.

TIPPLER EFFECT

With 60 per cent of population under 25 years of age, India is witnessing 15 per cent rise in annual alcohol consumption

Flavour/Segment	2004-05	2005-06	2006-07
Low alcoholic drinks	0.35m	0.35m	0.38m
Gin	3.2m	3.1m	3.4m
Vodka	1.4m	2.2m	3.7m
Brandy	19.4m	21.2m	25.3m
Rum	32m	32.5m	35.8m
Whisky	66.9m	74m	88.5m
Beer	85m	104m	137m
IMFL*	123.4m	133.7m	157.2m

Figures in million cases and include sales of Canteen Stores Department of the Ministry of Defence.
*Indian Made Foreign Liquor

Graphic by RAM



"Our Master Stroke whisky sold one lakh cases in 100 days. We are firing from all 16 cylinders."

ASIF ADIL, MANAGING DIRECTOR, DIAGEO INDIA